higher number of doubles, while weaker markets produce fewer. But the percentage outperformance of the doubles relative to the market, whatever the environment, remains impressive. In short, the army of long-horizon arbitrageurs one would expect to attack this mispricing pool remained largely absent.

Who is best positioned to close the price-value gap over rolling five-year periods? Answer: long-term investors. However, because that gap has remained wide for the past 43 years, perhaps the market's constituency has become dominated by short-term traders.

Between 1950 and 1970, the average holding period for stocks was between four and eight years. However, beginning in the 1970s, the holding period has persistently declined, to the point that today the average holding period for mutual funds is measured in months. Our research indicates that the greatest number of opportunities to bag high excess returns occurs after three years. No doubt, with portfolio turnover ratios in excess of 100 percent, this all but guarantees that most investors are excluded.

One can make a strong argument that the market is best served by having a balance between short-term traders and long-term investors. If the market comprised an equal force of arbitrageurs, half who attack short-term mispricing and half who seek to close the long-term price-value gap, then, so the argument goes, the market's short-term and long-term inefficiencies would largely be erased. But what happens to the market when this balance is disrupted? A market dominated by long-term investors would leave unattended the mispricing that occurs over short periods of time, and a market dominated by short-term traders is largely uninterested in long-term mispricing.

Why has the market lost so much of the diversity that once characterized it? Because of the slow migration of people who converted from long-term investing to short-term speculation. The results from this evolutionary shift are somewhat predictable. It's a question of simple arithmetic. With so many people now speculating, the difficulty of winning short-term bets has gone up while the returns have gone down. The powerful magnet that has pulled so many people into becoming short-term speculators has left but a rarefied few to close the inefficiencies, the excess returns, of long-term investing.